TIKONA CAPITAL

BUY

Motilal Oswal Financial Services Initiation Note

Motilal Oswal Financial Services Ltd | BUY

Rating	CMP	TP
BUY	**₹822.9**	**₹1,127.0**

Investment Thesis

BUY with SAARTHI Score of 72/100. Motilal Oswal Financial Services represents a compelling investment opportunity driven by its accelerating transformation from a cyclical broking firm into a high-quality, annuity-driven financial services platform. Annual Recurring Revenue (ARR) now constitutes the relevant figure of total net revenues — with management guiding for further increases — fundamentally re-rating the quality of the earnings base. CMP of the relevant figure offers a the relevant figure discount to analyst consensus target of the relevant figure with a probability-weighted target of the relevant figure.

- BUY with SAARTHI Score of 72/100. Motilal Oswal Financial Services represents a compelling investment opportunity driven...
- ARR contribution at the relevant figure of total net revenues, reducing cyclical broking volatility
- Q2FY25 profits up the relevant figure YoY with the relevant figure revenue growth and the relevant figure ROE
- Total AUM at the relevant figure lakh crore (+the relevant figure YoY); the relevant figure of AUM outperforming benchmar...
- Private Wealth AUM at the relevant figure lakh crore (+the relevant figure YoY); family count up the relevant figure YoY
- Long-term credit rating upgraded to AA+ (Stable) by ICRA

SAARTHI Investment Quality Score — 72/100

Proprietary 7-dimension framework. Overall score 72/100 (BUY (70-84 range)).

Code	Dimension	Score	Key Evidence
S	Scalability of Core Engine	12/15	AMC AUM +33% YoY to INR 1.89L Cr with INR 11,610 Cr net flows.
A1	Addressable Market & Adjacency	9/10	India private credit hit USD 9.0 Bn in H1 2025 (+53% YoY).
A2	Asymmetric Pricing Power	10/15	Diversified mix offset 24% brokerage decline, validating partial pricing-power hedge.
R	Reinvestment Quality	13/15	PWM AUM +31% YoY to INR 1.96L Cr; family count +41%; PAT +14% (9M).
T	Track Record Through Adversity	8/10	Despite repeated SEBI interventions, AUM and ARR base continue to compound — institutional resilience.
H	Human Capital & Institutional DNA	9/10	Rashtriya Samman Patra recipient (top tax-payer FY95–FY99) signals early ethical commercial success.
I	Inflection Point Identification	11/15	ARR at 65% of net revenues (up from 61%); management guiding higher — measurable

Motilal Oswal Financial Services Ltd At A Glance

Motilal Oswal Financial Services, founded in 1987 by Motilal Oswal and Raamdeo Agrawal, has evolved from a research-driven equity broking house into one of India's most comprehensive financial services platforms. The company spans Capital Markets, Asset & Wealth Management, Housing Finance, and Alternative Investments, serving over 1,600,000 customers across 550+ cities through 2,500+ business locations. Research coverage of 300+ companies remains the firm's enduring competitive moat.

CMP ₹822.9 **TP ₹1,127.0** **Upside 37.0%**

Industry Overview

Indian Financial Services is a strategic shock absorber for the growth story. India is expected to have the relevant figure HNWIs by 2027 and become the fourth-largest private wealth market by 2028, with a the relevant figure projected rise in UHNWIs. The financial services sector is projected to nearly double profits by FY30, led by NBFCs growing at the relevant figure annually. Mutual fund penetration at just 5–the relevant figure reflects substantial latent growth opportunity. Private credit hit a record the relevant figure billion in H1 2025, up the relevant figure YoY.

- Mutual fund penetration at 5-the relevant figure — massive latent opportunity
- Financial savings shifting from gold/real estate to financial assets
- BSE-listed companies grew from 135 (1995) to 5,328 (Feb 2025)
- Private wealth set to be 4th-largest globally by 2028
- NBFCs growing at the relevant figure annually with improving asset quality
- Demographic dividend — large working-age population entering peak earning

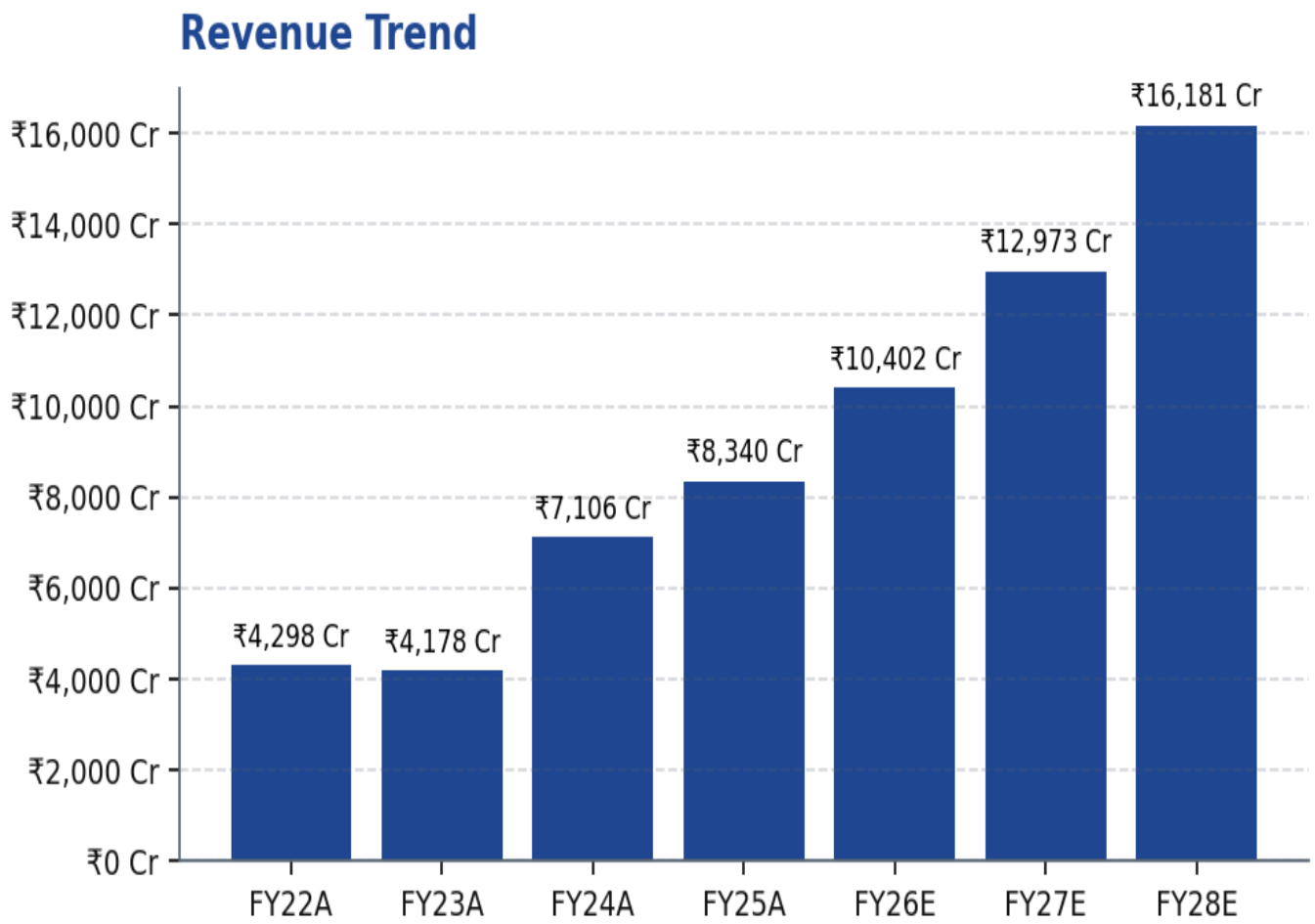
Key Highlights

Six themes underpinning the investment view.

- ARR Transformation: ARR at the relevant figure of net revenues (up from the relevant figure); fee-based at the relevant figure. Annuity income reduces transaction-cycle volatility.
- Profitability Momentum: Q2FY25 PAT the relevant figure Cr (+the relevant figure YoY); H1FY26 operating PAT the relevant figure Cr (+the relevant figure YoY); Asset & PWM businesses leading at +the rel
- AUM Scale and Outperformance: Total AUM the relevant figureL Cr (+the relevant figure YoY). AMC AUM the relevant figureL Cr (+the relevant figure) with the relevant figure Cr net flows. the relevant f
- Private Wealth Expansion: PWM AUM the relevant figureL Cr (+the relevant figure YoY); family count +the relevant figure YoY; PAT +the relevant figure (9M). Distribution book +the relevant figure YoY t
- Valuation Opportunity: CMP the relevant figure vs consensus TP the relevant figure (max the relevant figure) — the relevant figure upside. Probability-weighted target the relevant figure.
- Credit Upgrade: Long-term credit rating upgraded to AA+ (Stable) by ICRA. Net worth the relevant figure Cr (+the relevant figure YoY).

Revenue Trend

Revenue trajectory across the forecast period reflects mix shift and AUM scale-up.



Source: Tikona Capital model

Annual Financial Summary

Period	Revenue
FY22A	₹4,298.0 Cr
FY23A	₹4,178.0 Cr
FY24A	₹7,106.0 Cr
FY25A	₹8,340.0 Cr
FY26E	₹10,402.0 Cr
FY27E	₹12,973.0 Cr
FY28E	₹16,181.0 Cr

Quarterly Performance

Recent quarterly trajectory showing the variability inherent to the cyclical revenue base.

Quarter	PAT
Q2FY25	₹1,242.0 Cr
Q3FY25	₹715.0 Cr
Q4FY25	₹545.0 Cr
Q1FY26	₹425.0 Cr
Q2FY26	₹401.0 Cr

Segment Mix

Segment	Scale Metric	Latest	Notes
Capital Markets (Broking + IB)	Brokerage Rev YoY	-24%	Equity, derivatives, commodity, currency trading + institutional services and investment banking. Brokerage now contributes only 30% of total revenue, down from historical highs.
Asset Management	AMC AUM	INR 1.89L Cr (+33% YoY)	Mutual funds and PMS. 91% of AUM outperforming benchmarks over 3 years.
Private Wealth Management	PWM AUM	INR 1.96L Cr (+31% YoY)	HNI/UHNI advisory. Family count up 41% YoY.
Housing Finance	Loan Book	INR 6,630 Cr (+25% YoY)	Retail mortgage lending — affordable and mid-segment.
Alternative Investments	Carry Income	INR 58 Cr recurring	Private credit, real estate, alternatives.

Key Ratios

Margin and return profile across the forecast period.

Ratio	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
EBITDA Margin	49.3%	44.9%	57.4%	54.5%	52.3%	52.3%	52.3%
PAT Margin	30.5%	22.3%	34.4%	30.0%	29.5%	30.7%	31.7%
RoE	23.0%	15.0%	28.0%	23.0%	22.0%	23.0%	24.0%
RoCE	19.0%	13.0%	21.0%	19.0%	18.0%	18.0%	19.0%
RoIC	92.0%	78.0%	119.0%	87.0%	35.0%	24.0%	24.0%
P/E	37.5x	52.3x	20.1x	19.7x	16.1x	12.4x	9.6x
P/B	8.7x	7.8x	5.6x	4.5x	3.6x	2.9x	2.3x
EV/EBITDA	9.0x	10.3x	9.5x	11.4x	12.7x	10.5x	8.8x

Valuation — Methods Summary

Probability-weighted target price reconciles bull, base, and bear cases.

Case	Target	Weight	Basis
Bull Case	1,400.0	30.0%	28x P/E on FY27E EPS of INR 50; ARR > 70%, AMC +40% YoY.
Base Case	1,127.0	50.0%	24x P/E on FY27E EPS of INR 47; ARR stable at 65%, steady AUM.
Bear Case	630.0	20.0%	18x P/E on depressed FY27E EPS of INR 35; sustained regulatory headwinds.

Scenario Analysis

Case	Rev CAGR	EBITDA Mgn	Target Price	Probability	Drivers
Bull	27.5%	55.0%	1,400.0	30.0%	ARR > 70%, AMC AUM +40% YoY, regulatory clarity.
Base	16.0%	51.0%	1,127.0	50.0%	ARR steady at 65%, AUM compounding, stable regulation.
Bear	6.0%	45.0%	630.0	20.0%	Sustained F&O headwinds, fintech share loss.

Key Catalysts

- ARR contribution crossing the relevant figure of revenues, triggering valuation re-rating from broking to asset management multiples - Sustained AMC AUM growth above the relevant figure YoY with net flows exceeding the relevant figure crore annually - Private wealth AUM growth above the relevant figure YoY with family count expansion - Operating leverage improvement with cost-to-income ratio declining - Regulatory clarity on F&O trading norms

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Management Team

Founder-led leadership with deep institutional DNA.

Name	Role	Background
Raamdeo Agrawal	Chairman, MOFSL & Chairman, AMC	Co-founder (1987). Creator of the QGLP investment process and 'Buy Right, Sit Tight' framework. Built one of India's most respected investment research franchises. Widely cited investment thinker.
Motilal Oswal	Founder, Chairman & MD	Co-founder (1987). Led the firm's transformation from broking house into a comprehensive financial services platform. Recipient of Rashtriya Samman Patra for being among the highest taxpayers FY95–FY99.
Navin Agarwal	Executive Board — Strategy & Capital Allocation	Joined 2000. Drives business strategy and capital allocation across the Group, building market-leading positions through disciplined deployment.
Ajay Menon	Executive — Operations, Compliance, Risk & Technology	Joined 1998. 27+ years in Indian capital markets. Cornerstone of operational excellence and technology initiatives across the Group.

Forensic / Governance — Monitor Closely

Recurring regulatory matters are operational rather than fraudulent. Despite SEBI interventions, structural lapses suggest deeper governance attention needed in risk management. Pattern warrants monitoring but does not impair the business model.

Matter	Description	Severity
SEBI — Margin Reporting Violations	INR 7 lakh penalty for margin reporting, collection violations, and other regulatory lapses found during inspection.	Low
SEBI — Client Fund Misutilization (2022)	INR 25 lakh fine for misutilization of client funds and inaccurate margin reporting.	Medium
NSEL — Misselling Accusations	Accused alongside other top brokers of misselling NSEL contracts, KYC manipulation, client code modification, and illegal transactions per SFIO/EOW findings.	High (Historical)
SEBI — Not Fit and Proper (Commodities)	Declared 'not fit and proper' as commodity derivative broker in Feb 2019 based on SFIO/EOW recommendations.	High (Historical)
Unauthorized Terminal Operations	13 NSE and 9 BSE terminals operating from undeclared locations including an unreported branch in Delhi.	Medium

Trading Strategy

Entry: the relevant figure-850. 15-the relevant figure discount to analyst consensus target — margin of safety. Position size: 3-the relevant figure of portfolio (institutional). Review: Quarterly. Downside exit: Stop-loss at the relevant figure (-the relevant figure from CMP) on technical break with high volume. Upside exit: Sell the relevant figure at the relevant figure-1,150 (30-the relevant figure gains) / Sell remaining at the relevant figure+ if multiples expand beyond the relevant figure P/E.

- ARR contribution above the relevant figure of net revenues
- AMC AUM growth above the relevant figure YoY with net flows > the relevant figure Cr
- PWM AUM growth above the relevant figure YoY with family count expansion
- Cost-to-income ratio declining
- SEBI compliance with no major enforcement actions

Key Risks

- SEBI regulatory headwinds on F&O trading norms compressing cyclical broking revenues
- Q2FY26 profit declined the relevant figure YoY and revenue the relevant figure YoY due to regulatory changes — residual cyclicality
- Competitive intensity from discount brokers and fintech platforms compressing yields
- Forensic / governance: recurring SEBI matters require monitoring (Monitor Closely category)
- Mark-to-market volatility on the proprietary book
- Housing finance asset-quality slippage in stressed credit cycles

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